

CHAPTER 2 ECONOMIC TRENDS IN INDIA: AN OVERVIEW

A. Old Monetary Aggregates

M1 — Narrow Money

$$M_1 = C + DD + OD$$

$$M_1 = \text{Currency with the Public} + \text{Demand Deposits with Banks} + \text{Other Deposits with RBI}$$

M2

$$M_2 = M_1 + POSD$$

$$M_2 = M_1 + \text{Savings Deposits with Post-Office Savings Banks}$$

M3 — Broad Money

$$M_3 = M_1 + TD$$

$$M_3 = M_1 + \text{Time Deposits with the Banking System}$$

M4

$$M_4 = M_3 + POD$$

$$M_4 = M_3 + \text{All Deposits with Post-Office Savings Banks} - \text{National Savings Certificates}$$

B. New Monetary Aggregates

NM1 — Narrow Money

$$NM_1 = C + DD + OD$$

$$NM_1 = \text{Currency with the Public} + \text{Demand Deposits with Banks} + \text{Other Deposits with RBI}$$

NM2 — Intermediate Money

$$NM_2 = NM_1 + STTD$$

$$NM_2 = NM_1 + \begin{aligned} &+ \text{Time-Liability Portion of Savings Deposits} \\ &+ \text{Certificates of Deposit Issued by Banks} \\ &+ \text{Term Deposits Maturing Up to One Year} \end{aligned}$$

NM3 — Broad Money

$$NM_3 = NM_2 + LTDD + CTF$$

$$NM_3 = NM_2 + \text{Term Deposits Maturing After One Year} + \text{Call or Term Funding from Financial Institutions}$$

Liquidity Order

Old Measures

$$M_1 > M_2 > M_3 > M_4$$

New Measures

$$NM_1 > NM_2 > NM_3$$

Coverage Order

Old Measures

$$M_4 > M_3 > M_2 > M_1$$

New Measures

$$NM_3 > NM_2 > NM_1$$

1. Consumer Price Index

The Consumer Price Index is a statistical measure showing the average change over time in the retail prices of goods and services purchased by households. It measures changes in the cost of maintaining a representative household consumption basket. CPI is therefore commonly described as a cost-of-living indicator and is India's main measure of retail inflation.

When the prices of these goods and services rise, the CPI generally increases. A rise in CPI indicates that households need to spend more money to purchase the same representative basket of goods and services.

Calculation of CPI

In its simplest form, CPI compares the cost of purchasing a fixed basket of goods and services in the current period with the cost of purchasing the same basket in the base period.

The basic formula is:

$$\text{CPI} = \text{Cost of basket in the current period} \div \text{Cost of basket in the base period} \times 100$$

3. Types of CPI in India

The National Statistical Office under the Ministry of Statistics and Programme Implementation compiles the following major consumer price indices:

CPI Rural

CPI Rural measures changes in the retail prices faced by households living in rural areas. The rural basket reflects rural consumption patterns and expenditure priorities.

CPI Urban

CPI Urban measures changes in the retail prices faced by households in urban areas. It gives greater representation to urban housing, services, transport and other urban consumption expenses.

CPI Combined

CPI Combined represents the combined price movement for rural and urban households. It is calculated using the appropriate rural and urban weights.

4. CPI 2024 Series

India revised the CPI base year from 2012 to 2024. The revision was intended to make CPI more representative of current household consumption, urbanisation, digitalisation, changing price structures and the increasing importance of services.

The expenditure weights of the CPI 2024 series are based on information from the Household Consumption Expenditure Survey 2023–24. The revised index follows the **international Classification of Individual Consumption According to Purpose 2018, or COICOP 2018**.

Twelve Consumption Divisions

The earlier six broad groups were replaced by twelve consumption divisions:

1. Food and beverages
2. Paan, tobacco and intoxicants
3. Clothing and footwear
4. Housing, water, electricity, gas and other fuels
5. Furnishings, household equipment and routine household maintenance
6. Health
7. Transport
8. Information and communication
9. Recreation, sport and culture
10. Education services
11. Restaurants and accommodation services
12. Personal care, social protection and miscellaneous goods and services

This detailed classification improves the representation of modern consumption and supports international comparison.

Expansion of the CPI Basket

The total number of weighted items increased from 299 to 358.

- Goods increased from 259 to 308.
- Services increased from 40 to 50.

The revised basket gives greater importance to services, digital consumption and emerging household expenditure. Rural house rent was included for the first time. This improves the measurement of housing expenditure in rural areas.

5. Major CPI Weights

Under the combined CPI 2024 series, food and beverages has the highest weight at approximately 36.753%. This means that food-price changes have a major effect on overall consumer inflation.

The second-highest division is housing, water, electricity, gas and other fuels, with a weight of approximately 17.665%.

Other important weights include:

- Transport: 8.796%
- Clothing and footwear: 6.383%
- Health: 6.100%
- Personal care and miscellaneous services: 5.038%
- Furnishings and household maintenance: 4.469%
- Information and communication: 3.609%
- Restaurants and accommodation: 3.348%
- Education services: 3.333%
- Paan, tobacco and intoxicants: 2.989%
- Recreation, sport and culture: 1.516%

Weights indicate the relative expenditure importance of a division. They must not be confused with inflation rates. A weight of 36.753% for food does not mean that food inflation is 36.753%. It means that food accounts for approximately that proportion of the expenditure basket.

6. Changes in the CPI Basket

The revised CPI basket includes several goods and services reflecting modern lifestyles and digitalisation. Important additions include:

- Rural house rent
- OTT and streaming subscriptions
- Value-added dairy products

- Barley and barley products
- Pen drives and external hard disks
- Babysitter and attendant services
- Exercise equipment
- CNG and PNG
- E-commerce prices
- Online airfares
- Telephone and digital-service charges

Outdated or less representative items were removed, including:

- VCR, VCD and DVD players
- Radio
- Tape recorders
- Second-hand clothing
- Audio-video cassettes
- Coir and rope

These changes make the basket more representative of current household expenditure.

9. Price Collection and Household Survey

Prices are collected monthly from rural and urban markets. Online prices are generally collected more frequently. The framework includes physical rural markets, physical urban markets and selected online markets.

The Household Consumption Expenditure Survey is conducted by the National Statistical Office. It collects information from sample households about their expenditure on food, housing, clothing, health, education, transport and other goods and services.

The survey helps determine:

- Items to be included in the CPI basket
- Relative importance of different items

- Expenditure weights
- Differences between rural and urban consumption

Reference Period

A reference period is the period about which households are asked to report their consumption or expenditure. Under the Modified Mixed Reference Period method, different recall periods are used for different categories.

Seven-Day Reference Period

Used for frequently purchased or perishable items such as vegetables, fruits, eggs, fish, meat, edible oil, spices, beverages and processed food.

Thirty-Day Reference Period

Used for other food items, fuel, rent, taxes, non-institutional medical treatment and miscellaneous goods and services.

365 Day Reference Period

Used for less frequently purchased items such as clothing, footwear, education, institutional medical treatment and durable goods. Shorter recall periods improve the accuracy of reporting frequent purchases, while longer periods are suitable for occasional or expensive purchases.

Wholesale Price Index

Meaning of WPI

The Wholesale Price Index measures the average change over time in the prices of a representative basket of goods at the wholesale or producer level. It records price movements before goods reach final consumers and before retail margins are added. It mainly reflects the prices experienced by producers, manufacturers, bulk purchasers, wholesalers and businesses buying goods as inputs. Unlike CPI, WPI principally measures the prices of goods and commodities. Services are not included in the main WPI basket.

WPI series with the base year 2022–23 = 100 was introduced in June 2026, replacing the earlier 2011–12 series.

12. Main Groups of WPI

The WPI basket is divided into three major groups:

1. Primary Articles
2. Fuel and Power
3. Manufactured Products

Major Group Weights

The major weights are:

- Manufactured Products: 63.12%
- Primary Articles: 22.75%
- Fuel and Power: 14.11%

Manufactured Products has the highest weight and therefore generally has the largest influence on overall WPI movements.

13. Primary Articles

Primary Articles have a combined weight of approximately 22.75730%. They are divided into:

Food Articles include cereals, pulses, vegetables, fruits, milk, eggs, meat and fish.

Non-Food Articles include oilseeds, fibres, raw cotton, raw jute, flowers, fodder and agricultural raw materials.

Minerals include metallic and non-metallic minerals.

14. Fuel and Power

Fuel and Power has a combined weight of approximately 14.11433%. Its components include:

- Mineral oils
- Electricity
- Coal and lignite
- Crude petroleum and natural gas

15. Manufactured Products

Manufactured Products have the highest WPI weight at approximately 63.12837%.

Important manufacturing groups include:

- Food products
- Basic metals
- Chemicals and chemical products
- Motor vehicles and trailers
- Fabricated metal products
- Textiles
- Machinery and equipment
- Non-metallic mineral products
- Rubber and plastic products
- Electrical equipment
- Pharmaceutical products
- Computer, electronic and optical products
- Furniture
- Beverages
- Paper products
- Tobacco products

Among these, the manufacture of food products carries the highest individual manufacturing-group weight, followed by basic metals and chemical products.

Differences Between CPI and WPI

No.	Basis	Consumer Price Index — CPI	Wholesale Price Index — WPI
1	Meaning	CPI measures the average change in the retail prices of goods and services purchased by households.	WPI measures the average change in the prices of goods transacted at the wholesale or producer stage.
2	Stage of measurement	Prices are measured at the final consumer or retail stage.	Prices are measured at an earlier wholesale or production stage.

3	Whose prices are represented?	It represents prices paid by households and individual consumers.	It mainly represents prices relevant to producers, manufacturers, wholesalers and bulk purchasers.
4	Coverage	CPI includes goods as well as services consumed by households.	WPI covers goods and commodities only.
5	Treatment of services	Services such as health, education, transport, communication and housing are included.	Services are not included in WPI. They are measured separately through Service Producer Price Indices.
6	Compiling authority	CPI is compiled by the Price Statistics Division of the National Statistical Office—NSO.	WPI is compiled and released by the Office of the Economic Adviser.
7	Department and ministry	NSO functions under the Ministry of Statistics and Programme Implementation—MoSPI.	The Office of the Economic Adviser functions under the Department for Promotion of Industry and Internal Trade—DPIIT, Ministry of Commerce and Industry.
8	Current official base year	The officially listed current CPI base is 2012 = 100.	The current WPI base is 2022–23 = 100. The new WPI series became effective in June 2026.
9	Number of items included	The current official CPI covers approximately 358 items, including goods and services. The exact number may differ slightly between markets and villages.	The new WPI contains 957 items, all of which are goods or commodities. The previous WPI series contained 697 items.
10	Basis of weights	CPI weights are based on household consumption expenditure obtained from consumer expenditure surveys.	WPI weights are based on the Gross Value of Output—GVO of domestically produced commodities.
11	Main classification	The current CPI series is arranged into six principal consumption groups, with further subgroups for different goods and services.	WPI is divided into three major groups: Primary Articles, Fuel and Power, and Manufactured Products.
12	Highest-weighted category	In the current official CPI Combined series, Food and Beverages.	Manufactured Products has the highest WPI weight
13	Geographical presentation	CPI is published separately for Rural, Urban and Combined sectors and also provides state and Union Territory indices.	WPI is mainly published as an all-India commodity index. It is not divided into rural and urban indices.
14	Major use	CPI measures retail inflation, changes in the cost of living and	WPI measures wholesale and production-stage inflation. It

		purchasing power. It is used for inflation targeting and revision of wages, pensions and dearness allowance.	is used to study supply-side price pressures and as a deflator in economic and national-income calculations.
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